GMS WEEKLY

Your Source for Recycling News

March 3rd, 2023
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Week 9

Highlights:

- **Strong showing.**
- **Sales register.**
- **Dry improves.**
- **India moves.**
- **Bangla leads.**
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QUOTE of the WEEK

"Don't try to lessen yourself for the world; let the world catch up to you."

– Beyonce

MARKET COMMENTARY

EAGER EYES!

A strong showing from nearly all of the major recycling markets over the last few weeks has left a far rosier picture (especially in India, Bangladesh, and even Turkey) and has encouraged a few more Sellers to market their vessels for sale for recycling.

Indeed, several sales market (and reportedly even private units) have also been concluded for the week, including another large LDT LNG (rich in non-ferrous) and another Capesize Bulker.

However, it has been a good week for dry charter rates (Capes in particular) with some healthy gains posted to alleviate some of the doom and gloom witnessed over the last few weeks. Recycling markets can therefore rest easy that the hitherto expected deluge of tonnage is unlikely to materialize any time soon.

Overaged containers and dry bulk units are still the most likely to head for recycling, amidst a healthy outlook in the tanker / wet sector at last, but the recent bullishness displayed in freight sectors has overall put a bit of a dampener on the expected output of supply.

On the local markets front, India has done away with the GST tax on the import of ships for recycling, in order to improve margins for End Buyers by about 2.5% and this has already started to reflect in the local markets that are showing greater positivity this week.

Bangladesh has been the main proponent of the surging markets for the week, with prices pushing on and sentiments soaring as demand has built up after a fairly inactive 6 - 8 months. This is in contrast to a glum Pakistani market, where L/C approvals are struggling even more than Bangladesh, whereas the Bangladeshi market is starting to ease up somewhat on L/Cs for select Buyers with private banking means for financing on fresh vessels.

At the far end, the Turkish market spent a week of inactivity, with steady plate prices (import and local), strong offerings, and still no confirmation on local fixtures.

For week 9 of 2023, GMS demo rankings / pricing for the week are as below.

Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	Bangladesh	Positive	580 / LDT*	600 / LDT*	620 / LDT*
2	India	Positive	560 / LDT	570 / LDT	590 / LDT
3	Pakistan	Weak	525 / LDT*	535 / LDT*	545 / LDT*
4	Turkey	Positive	330 / LDT	340 / LDT	350 / LDT

**Subject L/C approval*

BANGLADESH

GRABBING HEADLINES!

Bagging deals.

Bangladesh continues to steal the headlines for another week, with a couple of showstopping larger LDT purchases, casting off the negativity that had engulfed this market for much of last year.

Demand has steadily grown as Chattogram Buyers have struggled with L/C financing on fresh purchases, but recent efforts by local Recyclers to obtain alternate / private means of financing and switching to Usance L/Cs is finally starting to pay dividends with more units being concluded of late.

LNG sold.

First up, the Sinokor controlled LNG ADRIATIC ENERGY (32,204 LDT) was concluded for USD 22 million (with 3,760 Tons of aluminium reportedly on board) in the latest LNG sale for recycling this year, whilst the Capesize bulker AGIA TRIAS (22,132 LDT) was fixed from Greek Owners at a decent USD 578/LT LDT basis an 'as is' Singapore delivery with sufficient bunkers for the voyage.

On the local fundamentals front, local steel plate prices also had an impressive showing this week as levels jumped nearly USD 56/Ton while the Taka depreciated past BDT 106 several times this week, finally ending the week at said level.

MARKET SALES REPORTED

VESSEL NAME	TYPE	LDT	REPORTED PRICE
AGIA TRIAS	Bulker	22,132	USD 578/LT LDT ('as is' Singapore)
ADRIATIC ENERGY	LNG	32,304	USD 22,000,000 (with 3,760 Ts aluminum)

INDIA

MISSING OUT!

India has missed out once again on market tonnage to a surging Bangladeshi market for yet another week – even on a favoured LNG - rich in non-ferrous and aluminium - which tends to find a home in Alang more often than not!

Customs exemptions.

This is all despite news that customs duty and GST leviable on vessels for recycling, amounting to 2.5% on the value of imported vessels, will be exempted.

Despite this recent financial benefit, end Buyers could not turn that to their advantage, and despite some lower priced green HKC sales this year, it looks set to be a struggle for Alang Buyers in the immediate future, all while prices remain stranded so far from Bangladesh.

Stranded.

Fundamentally, India has finally seen a stronger showing on the Rupee, which has appreciated to Rs. 81.66 (down from nearly Rs. 83) against the U.S. Dollar, while steel plate prices firmed a marginal USD 4/Ton this week.

NO MARKET SALES REPORTED

PAKISTAN

AVOIDING!

Miles off.

Pakistan is off once again, miles away from the lower priced Indian market and as such, there is simply no chance of Gadani Buyers being able to compete with a soaring Bangladeshi market as well!

Overall, Gadani Buyers are still struggling to achieve the requisite L/C approvals to import vessels, and once again have had performance issues on various deliveries where things have not gone smoothly, with some vessels even rumored to being diverted prior arrival Gadani.

Stability needed.

Fundamentally, the Pakistani Rupee is worse off after briefly firming to about PKR 261, it depreciated to a record PKR 285.2X, finally ending the week PKR 275.8X against the U.S. Dollar. Making matters worse, a likely lack of local trading of ship's steel has resulted in steel plate prices flatlining through the week, given the lack of any fresh arrivals over several weeks now.

It is therefore of little surprise that Owners and Cash Buyers are avoiding the Pakistani market for the time being, at least until some sort of stability and confidence in the buying can be seen.

NO MARKET SALES REPORTED

TURKEY

UNCHANGED!

It has been a quiet week in Turkey this week, with not much activity to report. There has still not been any confirmation of local sales to Aliaga Buyers this week, and no further news of further discussions on fresh units either.

Quiet week.

There has also been no reported change in import and local steel plate prices, neither has the Turkish Lira changed must beyond the TRY 18.8X levels it has been sailing through, over the last few weeks.

As such, the much anticipated 'Spring fever' has barely materialized, although with the market still steady, we can expect improvements moving forward.

'Spring fever'

NO MARKET SALES REPORTED

INTERESTING FACTS

- *NASA uses countdowns because of a sci-fi film. The countdown Fritz Lang used to create suspense in the rocket launch scene of his 1929 silent film Frau im Mond didn't just change film history—it also inspired NASA to use countdowns before its own blastoffs. It's not exactly a race against the clock though. NASA can feel free to pause the clock to check mechanical difficulties.*
- *ManhattAnts are an ant species unique to New York City. Biologists found them in a specific 14-block strip of the city.*
- *"Fancy riding" on bikes is illegal in Illinois. That includes riding without hands or taking your feet off the pedals when you're on the street.*
- *The world's smallest wasp is smaller than an amoeba. The Megaphragma mymaripenne wasp has the same body parts as any other bug (brain, wings, eyes, and more) but is a fifth of a millimeter long, making it smaller than most amoebas, which are made of just one cell.*
- *Some single-celled organisms are bigger than a wasp. Two can play at that game. The Caulerpa alga is made of just one cell but can grow up to 12 inches long.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**BEACHING TIDES**
March 08 - Holi March 30 – Ram Navami	March 07 – March 13 March 19 – Mar h 26

BANGLADESH	
BANK HOLIDAYS	**BEACHING TIDES**
March 08 – Shab-e-Barat March 17 – Birth of the Father of the Nation March 26 – Independence and National Day	March 09 – March 12 March 21 – March 24

IMPORTANT BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
No holidays in March	March 08 – Holi March 23 – Pakistan Day	**No Holidays in March**

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ALANG - Port Position as of March 03, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
1	*Fagri (Under Tow)*	*4,380*	*Dredger*	*Beached February 28*
2	Halul 22 (Under Tow)	1,404	OSV	Arrived February 28
3	Halul 27 (Under Tow)	1,937	OSV	Arrived February 28
4	*Kochi Express*	*8,362*	*Container*	*Beached February 24*
5	Sas 1	2,113	Supply Vessel	Arrived February 19
6	Stella Karina	1,263	F/V	Arrived March 02
Total Tonnage		**19,460**		

CHATTOGRAM - Port Position as of March 03, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
1	*BNS Karnaphuli*	*215*	*Navy Vessel*	*Beached February27*
2	BNS Tista	149	Patrol Boat	Arrived February 19
3	Ning Feng 316	11,350	Bulk Carrier	Arrived February 24
4	Sea Win	7,488	Bulk Carrier	Arrived February 14
5	Vadi	10,248	Bulk Carrier	Arrived March 03
6	Xiumei Shanghai	7,335	Container	Arrived February 25
7	*Yang 07*	*2,598*	*Sand Carrier*	*Beached February 25*
Total Tonnage		**39,382**		

GADANI - Port Position as of March 03, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
		No new vessels reported.		
Total Tonnage		**-**		

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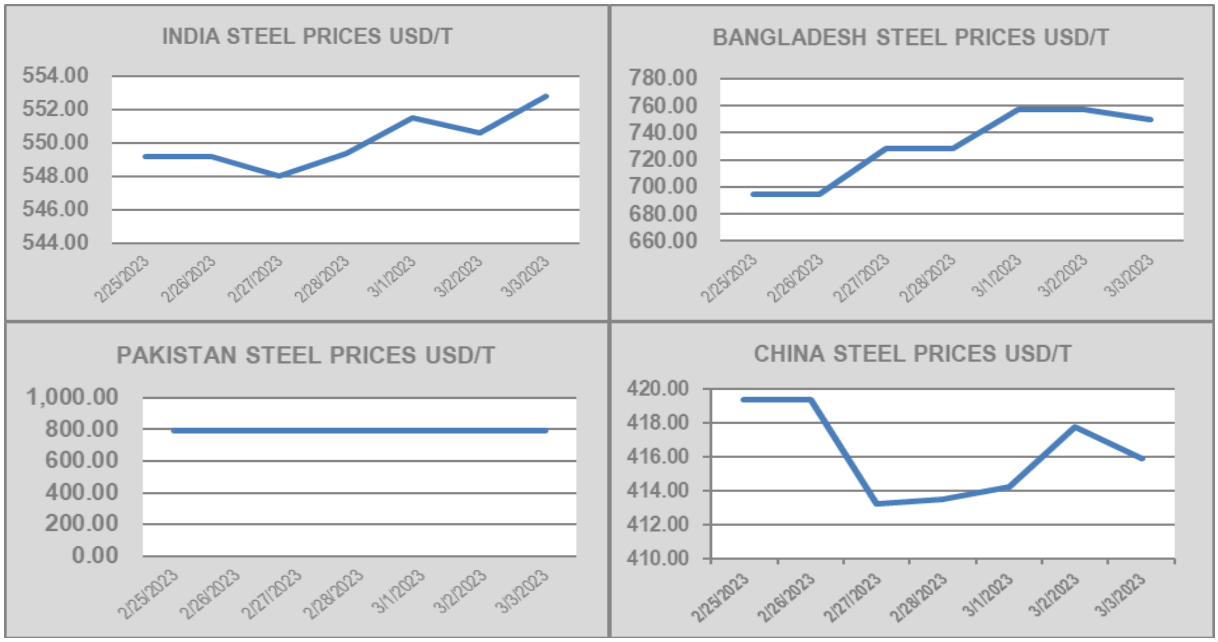
Steel Plate Prices

DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
2/25/2023	549.19	45,500.00	792.73	218,000.00	694.17	71,500.00	419.40
2/26/2023	549.19	45,500.00	792.73	218,000.00	694.17	71,500.00	419.40
2/27/2023	548.04	45,400.00	792.73	218,000.00	728.16	75,000.00	413.24
2/28/2023	549.37	45,400.00	792.73	218,000.00	728.16	75,000.00	413.56
3/1/2023	551.52	45,500.00	792.73	218,000.00	757.28	78,000.00	414.27
3/2/2023	550.58	45,500.00	792.73	218,000.00	757.28	78,000.00	417.83
3/3/2023	552.79	45,500.00	792.73	218,000.00	750.00	78,000.00	415.96



www.gmsinc.net
GMS_Leadership
GMS Leadership
snp@gmsinc.net

Athens, Greece Tel: +30.210.899.0669
Cumberland, USA Tel: +1.301.759.9240
Hamburg, Germany Tel: +49.40. 3197.9963
Shanghai, China Tel: +86.216.075.1900
Singapore Tel: +65.6823.8037
Bhavnagar, India Tel: +91.278.300.5253
Dubai, UAE Tel: +971.4.423.0720
New York, USA: +1.240.505.9716
Seoul, South Korea Tel: +82.10.4650.0720
Tokyo, Japan Tel: +81.3.5453.6311